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Futu Holdings Ltd | Asia Pacific

Call Takeaways: Normalized Net Inflows as Growth Strategy Continues to Unfold

Key Takeaways

- Management suggested net asset inflows from HK clients are still positive in 2Q, despite some outflows immediately following a regulatory issue.
- We estimate group level net inflows to be quite resilient at HK\$63bn in 2Q, though down from HK\$70-80bn in prior quarters.
- Futu offered Korean stocks recently. Despite the market correction, mgmt believes the knowhow gained from providing market access will help build a long-term moat.
- >200mn contracts have traded in Futu's prediction market in 1 month since launch, helped by the World Cup. The firm plans normalized fees after 6 months promotion.
- Market correction in 3Q is pressuring client acquisition and trading volume. But we think what's more important is that net inflow has got back to normal since July.

We think regulatory impact should be largely digested in HK and overseas markets, as management indicated net inflows normalized since July. It also suggested the firm is making best efforts to prevent trading access to Mainland customers from onshore, which is accepted by regulators. We think this should reduce market concerns on lingering regulatory risk. In our model we've already written off Mainland customer assets and revenue entirely since 3Q26.

Thailand fits well into Futu's ASEAN footprint: Management thinks the Singapore and Malaysia business have accumulated brand awareness, operation knowhow and some local customer insights, which can be transferrable to Thailand. The market has a digital savvy customer base with >4.5mn online investors, including many Chinese.

Separately, it mentioned Malaysia achieved break even on operational level in 2Q26 and expects profitability to ramp up in other overseas markets in the coming quarters.

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Futu Holdings Ltd (FUTU.O, FUTU US)

Top Pick

China Financials | China

Stock Rating	Overweight
Industry View	Attractive
Price target	US\$177.00
Up/downside to price target (%)	62
Shr price, close (Aug 19, 2026)	US\$109.42
52-Week Range	US\$202.53-80.50
Sh out, dil, curr (mn)	141
Mkt cap, curr (mn)	HK\$121,401
EV, curr (mn)	HK\$121,401
Avg daily trading value (mn)	US\$324

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (HK\$)**	80.24	65.85	82.28	106.24
Prior EPS (HK\$)**	-	-	-	-
EPS (HK\$)§	-	69.16	86.51	100.97
EBITDA (HK\$ mn)	13,713	11,389	13,822	17,847
ModelWare net inc (HK \$ mn)	11,302	9,292	11,610	14,991
P/E	15.9	13.0	10.4	8.1
P/BV	4.5	2.4	1.9	1.6
RNOA (%)	36.7	21.2	20.8	21.5
ROE (%)	40.3	23.2	23.3	24.1
EV/EBITDA	13.2	10.7	8.8	6.8
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Futu Holdings Ltd (FUTU.O)

Blend of DCF and P/E, probability-weighted 60% base, 30% bull, 10% bear. Skew reflects confidence in the sustainability of long-term growth, and the current level of client trading velocity.

Key assumptions:

Base case: DCF - discount rate 15.5%, exit growth rate 4%

Bull case: 36% average earnings growth in 2026 and 2027; 21x 2026e P/E

Bear case: earnings -5% on average in 2026 and 2027, 9x 2026e P/E

Risks to Upside

- Better-than-expected market conditions in HK/US
- Rapid crypto adoption among clients
- Solid traction in Japanese user and client acquisition and more color on a clearer monetization path

Risks to Downside

- Major correction in US/HK markets
- Slower-than-expected paying client conversion and monetization in Japanese market
- Fierce competition in HK and Singapore eroding its market share

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Futu Holdings Ltd (FUTU.O) - As of 08/20/26 GMT in USD
Industry : China Financials



Stock Rating History: 8/1/21 : O/A; 10/29/21 : E/A; 5/18/23 : U/A; 1/4/24 : E/A; 11/18/24 : O/A

Price Target History: 7/29/21 : 163; 10/26/21 : 87; 10/29/21 : 71.56; 6/13/22 : 53; 12/5/22 : 56; 1/10/23 : 44; 5/18/23 : 34; 9/26/23 : 40; 1/4/24 : 50; 5/29/24 : 70; 11/18/24 : 115; 2/18/25 : 130; 5/30/25 : 140; 7/9/25 : 160; 8/21/25 : 210; 12/6/25 : 246; 3/27/26 : 225; 6/2/26 : 177

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/20/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$20.52
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb17.83
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$14.80
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK\$25.86
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb27.04
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb18.80
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$109.42
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.40
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb11.95
GF Securities (000776.SZ)	E (08/07/2025)	Rmb20.30
GF Securities (1776.HK)	E (01/06/2023)	HK\$16.97
HTSC (601688.SS)	E (09/23/2024)	Rmb18.74
HTSC (6886.HK)	E (09/23/2024)	HK\$16.57
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.81
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$6.27
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$5.69
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.06
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.59
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb6.05
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.44
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.48
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb7.11
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb16.81
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb34.18
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb8.32

China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.88
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$9.20
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.58
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.05
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.02
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb38.86
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$49.00
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.47
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.46
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.48
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.73
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$7.48
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.78
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.17
Lufax (LU.N)		US\$1.45
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.40
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$4.91
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$11.79
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.11

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.